ATTENDANCE & LEAVE POLICY

GRT/ ALP/ POL/ V-2 1st June 2026

1. Purpose

This policy outlines the attendance, leave, and work discipline framework applicable to employees of Ethara AI. The objective of this policy is to ensure operational continuity, workforce planning, compliance, accountability, and transparent leave management across the organization.

All employees are expected to adhere strictly to the attendance and leave procedures mentioned herein.

2. Scope

This policy shall be applicable to all on-roll employees of Ethara AI.

3. Attendance Protocol

General Attendance Guidelines

- All employees are required to mark attendance through the biometric attendance system only.
- Working Days: **Monday to Friday.**
- No other source/mode of attendance shall be considered valid unless approved by HR.
- Official working hours shall be from **10:00 AM to 7:00 PM**.
- One-hour break shall be allowed for lunch/refreshments.
- Employees are required to complete **9 working hours daily**.
- A grace period of **30 minutes** shall be applicable.

Note: Saturdays and Sundays shall generally be considered weekly offs. However, employees may be required to work on such days depending upon operational and business requirements, with attendance/compensatory arrangements being managed wherever applicable.

Late Coming Guidelines

- Employees reporting between **10:30 AM and 11:30 AM** shall be marked as Late Comers.
- Up to **3 late-coming instances** shall be permitted in a month.
- From the **4th instance onwards**, disciplinary action including warning letters and/or Leave without Pay (LOP) may be initiated.

- Employees reporting after **11:30 AM** without prior approval/intimation shall be marked Absent for the day.

Extended Working Exception

For employees working till late due to business requirements, the reporting manager must intimate HR on the same day mentioning:

- Employee Name
- Employee Code
- Expected reporting time for the next day

If the employee reports later than the approved time, the employee shall be marked Absent.

Night Shift / Overnight Work

In case an employee works overnight/night shift due to business requirements, the reporting manager must clearly intimate whether the employee:

- Will report late, or
- Will not report to the office and is required to be marked as Present / WFH / Leave accordingly.

Attendance Corrections

- Any biometric-related issue must be reported to HR through official email only.
- Verbal attendance regularization requests shall not be entertained.

4. Public Holidays

- Employees shall be entitled to National Holidays and Festival Holidays as declared by the Company in accordance with applicable laws and business requirements.
- The holiday calendar shall be communicated separately by HR every calendar year.

5. Leave Cycle

The leave cycle shall be considered from **January to December** every calendar year.

6. Leave Application Process

General Leave Guidelines

- All leave applications must mandatorily be submitted through GreytHR.
- Email, Slack, WhatsApp, verbal approvals, or informal communication shall not be treated as valid leave approval.
- Leave approval shall be subject to reporting manager approval, business requirements, and workforce availability.
- Unauthorized absence or absence without approval/intimation may result in Leave without Pay (LOP) and disciplinary action.

Operations Team Leave Approval

- For Operations Teams, leave requests shall additionally be subject to consolidated approval from the CTO/COO for attendance and payroll processing purposes.
- Employees are expected to keep their respective reporting managers informed and aligned while planning leaves.
- Any leave not approved during such consolidated review shall be treated as Leave without Pay (LOP), irrespective of prior informal discussion/intimation.
- Leave is not a matter of right and may be approved/rejected based on business exigencies, operational requirements, employee availability, and workflow dependency.

Leave Planning Guidelines

- Earned Leave (EL) must be applied minimum **3 days in advance**.
- Casual Leave (CL) and Sick Leave (SL) may be applied on the same day only in genuine emergency situations.
- Employees are expected to plan leaves responsibly to avoid operational disruptions.

7. Leave Types & Entitlements

a. Earned Leave (EL)

- Employees shall be entitled to **18 Earned Leaves (ELs)** annually.
- EL shall be credited monthly on a prorated basis depending upon the employee's Date of Joining (DOJ).
- EL shall be credited at the beginning of every month.
- Employees serving probation shall also be eligible to avail EL.
- EL may only be availed as Full Day Leave.
- EL may be clubbed with CL or SL subject to approval.

EL Carry Forward & Encashment

- Unutilized Earned Leave (EL) shall be eligible for carry forward in accordance with Haryana Shops & Commercial Establishments provisions.
- A maximum of **30 ELs** may be carried forward to the next calendar year. Any balance beyond this limit may lapse subject to applicable law and company policy.
- EL encashment shall only be applicable at the time of separation from the organization.
- Encashment shall be subject to Company policy and statutory compliance applicable at the time of separation.

EL Transition Provision

- Since the revised EL structure is being implemented effective 01st June 2026, existing employees shall receive EL credit proportionately from the effective date onwards.
- New joiners shall receive prorated EL credit based on their Date of Joining (DOJ).

b. Casual Leave (CL)

- Employees shall be entitled to **7 Casual Leaves (CLs)** annually.
- CL shall be credited on a half-yearly basis and on a prorated basis depending upon the employee's Date of Joining (DOJ).
- Employees serving probation shall not be eligible for Casual Leave.
- CL is intended for urgent and unforeseen personal requirements only.
- More than **3 consecutive CLs** shall not be permitted.
- CL may be availed as Half Day or Full Day Leave.
- CL cannot be clubbed with Sick Leave (SL).
- CL may be clubbed with Earned Leave (EL), subject to approval.
- Unused CL balance shall lapse at the end of the calendar year.

c. Sick Leave (SL)

- Employees shall be entitled to **7 Sick Leaves (SLs)** annually.
- SL shall be credited yearly on a prorated basis depending upon the employee's Date of Joining (DOJ).
- Employees serving probation shall be eligible to avail Sick Leave.
- SL may be applied on the same day only in genuine medical/emergency situations.
- More than **3 consecutive Sick Leaves** shall require supporting medical documentation from a registered medical practitioner.
- Medical documents must be submitted along with the leave application for leave exceeding 3 days.
- Failure to provide required documentation may result in Leave without Pay (LOP).

- SL cannot be clubbed with Casual Leave (CL).
- SL may be clubbed with Earned Leave (EL), subject to approval.
- Unused SL balance shall lapse at the end of the calendar year.

8. Special Leaves

a. Maternity Leave

- All eligible female employees shall be eligible for Maternity Leave in accordance with the Maternity Benefit Act, 1961 and applicable amendments.
- Eligible employees shall be entitled to:
    - Up to **26 weeks** of paid maternity leave for the first two surviving children.
    - Up to **12 weeks** of paid maternity leave if the employee already has two or more surviving children.
- Maternity Leave may be availed up to **8 weeks prior** to the expected delivery date, with the remaining balance being availed post childbirth.
- Employees shall be required to intimate HR in advance along with supporting medical documentation.
- In the event of miscarriage or medical termination of pregnancy, eligible female employees having less than two surviving children shall be entitled to up to 6 weeks of leave immediately following the date of miscarriage or medical termination, subject to medical advice, supporting documentation, and HR/management approval, in accordance with applicable statutory provisions.
- Eligible female employees having less than two surviving children and legally adopting an infant child below the age of 3 months shall be eligible for up to 12 weeks of leave from the date of adoption, subject to submission of valid adoption/legal documents and HR/management approval, in accordance with applicable statutory provisions.

b. Paternity Leave

- All eligible male employees shall be eligible for **5 working days** of Paternity Leave.
- Paternity Leave must generally be availed within 30 days of childbirth/adoption.

c. Bereavement Leave

- Employees shall be eligible for up to **3 working days** of Bereavement Leave in the unfortunate event of demise of an immediate family member.

d. Marriage Leave

- Employees shall be eligible for **5 working days** of Marriage Leave during their tenure with the organization.
- Marriage Leave may be availed only once during employment with the Company.

9. Leave Combination Rules

Leave Combination	Status
CL + SL	Not Allowed
EL + CL	Allowed
EL + SL	Allowed

10. Compliance & Discipline

- Only GreytHR entries and HR-approved leaves shall be considered valid for attendance and payroll processing.
- Any unauthorized absence, misuse of leave provisions, attendance manipulation, or repeated non-compliance may attract disciplinary action.
- Repeated attendance violations may result in warning letters, Leave without Pay (LOP), or further disciplinary measures as deemed appropriate by management.
- Employees and reporting managers are expected to ensure proper leave planning, attendance discipline, and timely communication.

11. Additional Workplace Flexibility

(Subject to Management Approval)

Work From Home (WFH)

- Employees may be permitted up to **2 Work From Home (WFH) days per month** subject to reporting manager approval, business requirements and management discretion. WFH shall not be treated as an entitlement.

Menstruation Leave

- Female employees may be permitted **1 Menstruation Leave per month** subject to prior intimation, approval & management discretion.

12. Policy Governance

- This policy shall be governed in accordance with applicable labour laws, Haryana Shops & Commercial Establishments provisions, and organizational requirements.
- The Company reserves the right to amend, interpret, modify, suspend, or withdraw any provision of this policy at any time based on business requirements, operational considerations, or legal amendments.

13. Conclusion

Employees are expected to exercise responsibility, professionalism, and discipline while availing attendance flexibility and leave benefits.

The objective of this policy is to ensure:

- Transparent attendance and leave management
- Operational continuity
- Better workforce planning
- Payroll accuracy
- Improved accountability across teams

For any clarification regarding this policy, employees may connect with the HR Team.

The policy is subject to revision at the company's discretion and will be communicated accordingly.